



GRH Streamlined-Assist

Refer to [Exhibit A](#) for Rural Housing origination instructions.

PRIMARY RESIDENCE – RATE/TERM REFINANCE				
Property Type	Max LTV/CLTV	Maximum Loan Amount	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Condo PUD	None ¹	No specific maximum loan amount; borrower must meet income limit and qualify for the loan	580	Manual underwrite only

1. Refer to the [Subordinate Financing](#) section.

PROGRAM SUMMARY

The Guaranteed Rural Housing (GRH) Streamlined-Assist program offers a 30-year fixed-rate mortgage loan guaranteed by the U.S. government through USDA-Rural Development (RD) for borrowers whose existing loan is also a Guaranteed Rural Housing loan. The existing loan may be serviced by Flagstar Bank or another loan servicer.

PRODUCTS OFFERED

Product	Loan Term
GRH Streamlined-Assist 30-Year	30-Year Fixed

PRICING

The GRH program is priced to the GNMA I 30Y or GNMA II 30Y pricing (depending on the desired rate) listed on the daily price indication sheets, but subject to the maximum interest rate listed under Government Price Adjustments. The interest rate selected for the GRH Streamlined-Assist loan must be at or below the interest rate on the existing GRH loan being refinanced.

RURAL DEVELOPMENT STATE WEBSITES

Websites for state Rural Development offices can be accessed by inputting the main address, then adding the 2-letter state code. Main web address: <http://www.rd.usda.gov/>

EXAMPLE

State of Michigan
<http://www.rd.usda.gov/mi>

RURAL DEVELOPMENT FORMS

Most Rural Development forms are available at the [USDA Service Center Agencies eForms](#) site:

FORM RD 3555-21, REQUEST FOR SINGLE FAMILY HOUSING LOAN GUARANTEE

[Form RD 3555-21](#) must be submitted to Underwriting with the initial loan submission. Borrower and co-borrower must sign page two. The version dated “Rev.08-22” must be used for all loan submissions.

ELIGIBLE BORROWERS

- U.S. citizens
- Permanent resident aliens
- Non-permanent resident aliens

INELIGIBLE BORROWERS

- **Non-occupant co-borrowers**
- Borrowers closing in a trust (if a property has been moved into a trust since the existing loan was closed, it must be removed from the trust prior to closing on the refinance).

ELIGIBLE PROPERTY TYPES

Any property securing a GRH loan except manufactured housing

INELIGIBLE PROPERTY TYPES

Manufactured homes

INCOME LIMITS

Adjusted annual income may not exceed 115% of the median income for the area in which the subject property is located; the income limits published [here](#) are calculated at 115% of the median income and cannot be exceeded

MAXIMUM LOAN AMOUNT

The loan amount may include the principal balance of the existing loan plus a portion of or the full upfront Guarantee Fee and eligible loan closing costs. No cash out is permitted. Enter the requested base loan amount (loan amount before adding the Guarantee Fee) as the estimated value in **the system**.

INTERESTED PARTY CONTRIBUTIONS

Not applicable

TEMPORARY BUY-DOWNS

Not eligible.

RESERVES

Not required

SUBORDINATE FINANCING

No maximum CLTV; any subordinate financing cannot be included in the new loan and must remain subordinate.

CREDIT ALERT INTERACTIVE VOICE RESPONSE SYSTEM (CAIVRS)

All borrowers must be screened using HUD's Credit Alert Interactive Voice Response System (CAIVRS). Rural Development will not insure a loan if the borrower is currently delinquent on any unpaid federal debt or has had a claim paid within the previous three years. A CAIVRS number that begins with anything other than an A must be investigated and verification must be obtained that the debt has been satisfied prior to moving forward with the loan application.

SYSTEM FOR AWARD MANAGEMENT (SAM)

All applicants and other parties to the transaction (including loan officers, processors and underwriters) must be screened using General Services Administration (GSA) [System for Award Management \(SAM\)](https://www.sam.gov/portal/public/SAM/) (<https://www.sam.gov/portal/public/SAM/>). An applicant/other parties are ineligible if he/she is presently delinquent on any Federal debt or is suspended or debarred, or otherwise excluded from participating in Rural

Development programs. Customers will check the website above and submit screen prints of the results of those checks for all parties along with their underwriting submission to Flagstar. The checks should occur no greater than 30 days prior to loan closing, otherwise documentation will need to be updated by performing another check of SAM and submitting the new screen print to Flagstar.

QUALIFYING RATE

Note rate

QUALIFYING RATIOS

Not applicable

PROPERTY GUIDELINES

APPRAISAL STANDARDS

- An appraisal is not required, and a new appraisal will not be accepted.
- Property value entered in **the system** should equal the requested base loan amount.
- Underwriter should enter *GRH REFI PILOT* as the appraiser name.

PROPERTY STANDARDS

- Property must be in area designated as rural by Rural Development (refer to the [USDA Income and Property Eligibility](#) site) or an area that was eligible at the time of the loan closing on the existing loan.
- Condominiums must meet Fannie Mae or Freddie Mac warranty guidelines or be HUD or VA approved.

UNDERWRITING

For underwriting questions and underwriting support please contact Government Customer Support by calling (866) 945-9872 or via email at governmentuw@flagstar.com.

All loan applications will be underwritten to USDA's GUS (Guaranteed Underwriting System) and Flagstar current guidelines. Refer to the [HB-1-3555 Single Family Housing Guaranteed Loan Program Technical Handbook](#) and Flagstar's [USDA Underwriting Guidelines for Government Guidelines](#).

FEES

GUARANTEE FEE

The guarantee fee for all transactions is 1.00% of the gross (final) loan amount. The guarantee fee may be financed or paid at closing. If the upfront fee is financed, it is calculated as the base loan amount (before the guarantee fee is added, but after other financed items) divided by 0.99, rounded down to the nearest dollar, and then multiplied by 0.01. The gross loan amount may only exceed the appraised value by the amount of the financed guarantee fee.

ANNUAL FEE (PAYABLE MONTHLY)

0.35%

Calculate the amount for the upfront and annual guarantee fees using the [Guarantee Upfront and Annual Fee Calculator](#).

Flagstar's system permits the following three options regarding the upfront guarantee fee:

- Full financing of the upfront guarantee fee (except for any amount less than one dollar),

- Partial financing of the fee (with the remainder paid in cash at closing), or
- Paying the full upfront guarantee fee in cash at closing.

Customers should refer to [the system](#)'s Guaranteed Rural screen for the breakdown of the financed vs. paid in cash portions of the guarantee fee.

OTHER FEES

- Fees and charges associated with originating/closing a GRH loan cannot exceed fees charged for loans insured or guaranteed by the FHA or VA; refer to Paragraph 6.2C of [Chapter 6, Loan Purpose of RD Technical Handbook, HB-1-3555](#)
- Customary and reasonable closing costs and other fees may be charged to the borrower by the lender. Such charges may not exceed the cost paid by the lender or charged to the lender by the service provider. Excessive fees are not permitted.
- Loan discount points may not be financed for this program.

STATE ELIGIBILITY

Available in all 50 states and the U.S. Virgin Islands, but not available in the following areas:

State	Restriction
District of Columbia	Not eligible
Puerto Rico	Not eligible

LATE FEE

Flagstar requires a 5% late fee for GRH transactions.

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing documentation may be obtained from Flagstar's Web Based Closing Documents (WBCD) service available on [the system](#).

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series.
- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series.
- Copy of Preliminary Title Policy or Preliminary Opinion (with environmental endorsement).
- Copy of Homeowners Policy or Binder.

Cash back to the borrower at closing is not allowed. Any excess funds from the closing should be returned to Flagstar as a principal curtailment of the new loan.

EXHIBIT A

How to originate a non-delegated Rural Housing loan with Flagstar:

1. Take the application, ensure applicant is eligible for a guaranteed loan based on:
 - a. Income eligibility (use RD's Worksheet for Documenting Eligible Household and Repayment Income, which is Attachment 9-B to [Chapter 9, Income Analysis](#), of RD Technical Handbook, HB-1-3555)
 - b. Initial review of credit
2. Confirm eligibility through USDA's [Income and Property Eligibility](#) site (for income only).
3. All applicants and other parties to the transaction (including loan officers) must be screened using General Services Administration (GSA) [System for Award Management \(SAM\)](#) (<https://www.sam.gov/portal/public/SAM/>). Obtain screen prints for results of all checks and submit with underwriting file.
4. Upload/input loan application into **the system**, select product using a Loan Type of *Rural*, complete Guaranteed Rural screen, run credit through **the system**, order verifications, etc.
5. Retrieve and follow the *Flagstar Rural Housing Processing Checklist*, [Doc. #9801](#).
6. Complete all applicable Rural Development forms, to include signatures, and then submit loan application package to Flagstar for underwriting review.
7. Once Flagstar issues its conditional loan approval, the underwriter will submit file to the [appropriate RD production team](#) for their review.
8. Rural Development reviews loan and issues [Form RD 3555-18](#), Conditional Commitment of Single Family Housing Loan Guarantee.
9. Flagstar reviews and clears conditions listed on the [Form RD 3555-18](#) and places loan into Final Approval status.
10. Broker/correspondent locks interest rate with Flagstar Marketing department (if not previously locked). Save confirmation in the file.
11. Schedule the closing. Prepare closing documents using Flagstar's Web Based Closing Docs (WBCD) service available on **the system**. Order funds.
12. Close the loan.
13. Deliver closed loan package to Flagstar.
14. Flagstar submits the guarantee package to Rural Development using RD's [Loan Closing Stacking Order Checklist](#).
15. Rural Development issues the Loan Note Guarantee, [Form RD 3555-17](#) to Flagstar.